

Over the last decade, it has reduced its dependence on oil and gas, and shifted towards consumer and sustainable businesses. Retail accounted for 6% revenue in FY16 while refining, petrochemicals, oil and gas together made up the rest (94%). In FY25, it generated 58.5% revenue from oil to chemicals (O2C), 30.89% from retail and 14.88% from digital services.

This transformation has been protecting RIL from systematic risks. For instance, in FY25, due to high volatility in energy prices, the O2C business saw a 12% YoY drop in consolidated Ebitda to ₹54,988 crore. But digital services and retail witnessed 14.69% and 8.59% Ebitda growth, respectively, cushioning the fall.

Analysts are cognizant of the shifting sands. Palka Arora Chopra, Director at financial services firm Master Capital Services, says, "RIL's diversification and focus on consumer and digital businesses have offset challenges and ensured growth. The company's transformation is set to accelerate with its commitment to net carbon zero by 2035." She adds that in digital ventures, the acquisition of Disney+Hotstar and IPL broadcasting rights indicate its intent to dominate the digital entertainment and streaming industry. "By 2035, green energy, consumer and digital businesses are expected to dominate the top line," says Chopra.

"RIL's new energy business will be the new jewel in its crown. It

will become as big and profitable as the O2C business over the next five-seven years. We believe new energy, AI and Jio will drive expansion," says Kranthi Bathini, Equity Strategist at investment management company WealthMills Securities. RIL has made significant capex allocation of ₹75,000 crore each in petrochemical and new energy businesses, as per a company presentation.

"This shift materially enhances RIL's ESG narrative and long-term earnings quality, strengthened by its performance in the consumer-driven segments," says Harshraj Vijay Aggarwal, Lead Analyst-Energy Sector, Institutional Equities Research, YES Securities.

DEBT A CONCERN?

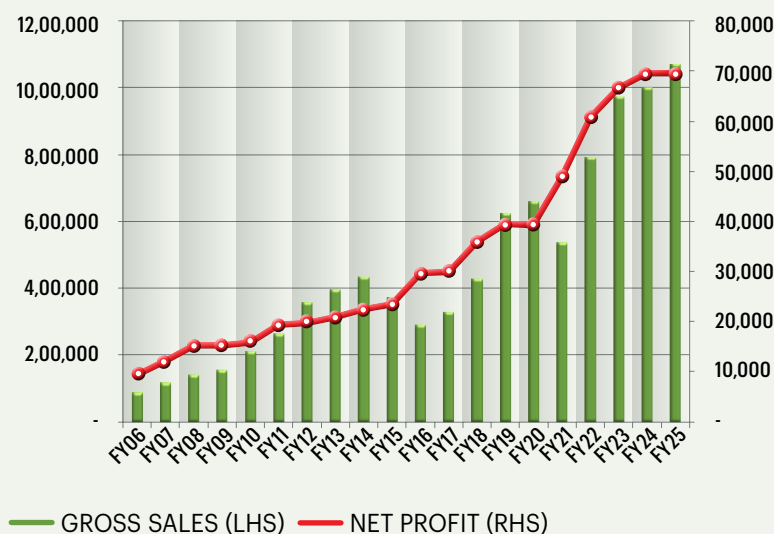
Reliance's net debt stood at ₹1.17 lakh crore as against the cash profit of ₹1.47 lakh crore at the end of FY25. The borrowings may seem huge in absolute terms, but weighed against the vast operational scale and robust cash flows, are not a big cause for concern. More importantly, the debt-to-equity ratio is a modest 0.41.

Aggarwal says the net debt-to-equity ratio remains negligible given the high cash levels. Despite large ongoing investments in new energy and petrochemicals, balance sheet strength has not deteriorated, aided by controlled telecom capex, partial monetisation in retail and operating leverage.

In FY25, RIL reported a capital expenditure of ₹1.31 lakh crore (excluding spectrum costs), nearly all of which came from internal accruals, thereby avoiding dependence on incremental borrowings for its future growth engines in digital services, retail expansion, energy transition and new digital infrastructure.

FIGURES THAT MATTER

- Gross sales have grown at 15% CAGR in the past 20 years
- Profits have risen at a CAGR of 12%



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